7. Income Taxes

The provision/(benefit) for income taxes for the years ended November 30, 2002, 2001, and 2000 is as follows:

	2002	2001	2000
Current:			
Federal	$ (41,000)	$ -	$ 26,000
State	(36,000)	83,000	84,000
	(77,000)	83,000	110,000
Deferred:			
Federal	(269,000)	(2,099,000)	443,000
State	(50,000)	(64,000)	145,000
	(319,000)	(2,163,000)	588,000
Beginning balance adjustment valuation allowance	642,000	-	-
Total deferred provision/(benefit)	323,000	(2,163,000)	588,000
Income tax provision/(benefit)	$ 246,000	$(2,080,000)	$698,000

Deferred income tax expense for the year ended November 30, 2002 includes a $642,000 adjustment to increase the beginning-of-the-year balance of the valuation allowance. This adjustment became necessary due to softness in customer demand during the second half of 2002, that resulted in the Company falling short of budgeted 2002 revenues and earnings.

The reconciliation of the expected provision/(benefit) at the U.S. Federal statutory tax rate to the actual provision (benefit) recorded for the years ended November 30, 2002, 2001 and 2000 is as follows:

	2002	2001	2000
Expected tax (benefit) at statutory rates	$ (602,000)	$(3,069,000)	$597,000
Effect of state taxes, net	(74,000)	(566,000)	151,000
Permanent differences	-	788,000	10,000
Valuation allowances	922,000	767,000	(60,000)
Total	$ 246,000	$(2,080,000)	$698,000

Significant components of the Company's tax assets and liabilities as of November 30, 2002 and 2001 are as follows:

	November 30, 2002	2001
Deferred tax assets:		
Allowance for doubtful accounts	$ 154,000	$ 108,000
Expenses deferred for tax reporting purposes	185,000	99,000
Deferred tax depreciation	74,000	256,000
Deferred tax amortization of goodwill	1,021,000	2,134,000
Loss carryovers	3,709,000	2,835,000
Deferred tax assets before valuation allowance	5,143,000	5,432,000
Valuation allowance	(1,883,000)	(960,000)
Deferred tax assets(net of valuation allowance)	$3,260,000	$4,472,000

	November 30, 2002	2001
Deferred tax liabilities:		
Gain recognized in financial statements deferred for income tax purposes	$1,935,000	$2,084,000
Tax amortization in excess of book amortization	101,000	735,000
Other	-	128,000
Total deferred tax liabilities	$2,036,000	$2,947,000

At November 30, 2002, the Company had loss carryforwards of $7,840,000 for federal income tax reporting purposes and $10,450,000 for state income tax reporting purposes. Future expiration dates of federal loss carryforwards are as follows: $2,454,000 in 2007, $3,182,000 in 2012, $334,000 in 2021 and $1,870,000 in 2022. State loss carryforwards expire between 2007 and 2009.